became increasingly worried about Russian overdependence on China having deleterious effects on its own security. On 4 February 2022, Putin had travelled to Beijing where he agreed to a ‘no limits’ friendship with ‘no “forbidden” areas of cooperation’. [48] Given these various considerations, India initially abstained on UN resolutions condemning Russia and refused to openly criticize its actions. Over time, New Delhi offered mediation on certain specific matters, called for investigations of alleged war crimes in Bucha, and provided some humanitarian assistance to Ukraine. At a meeting in Samarkand, Modi told Putin in person that: ‘Now is not the time for war’, perhaps the most public criticism a foreign leader had given in person to the Russian president. [49]

Taken together, the pandemic, the border clashes with China, and the Russian invasion of Ukraine had tremendous consequences for India’s economic and commercial policies. National and economic security considerations meant that critical supply chain vulnerabilities could no longer be justified. These events proved an impetus for an Indian industrial policy focused on critical manufacturing and technologies. To this end, India unveiled subsidies in the form of production linked incentives (PLI) with early gains in electronics manufacturing. Special efforts were made in areas such as semiconductors and solar panel production. [50] In addition to subsidies, India fast tracked regulations and policies concerning artificial intelligence, space, and drones. It made further investments in research and development and coordinated supply chain approaches with friendly partner countries.

Trade policy also adjusted. India had previously decided not to join the Regional Comprehensive Economic Partnership (RCEP) with fifteen other countries led by ASEAN. A major concern was that the trade deficit with China would widen given lax rules of origin stipulations in the agreement. But India’s trade policy then pivoted toward more complementary advanced economies and away from competing Asian manufacturing centres. After a decade without concluding trade agreements, India swiftly finalized deals with Mauritius, the United Arab Emirates, Australia, and an economic grouping of Norway, Switzerland, Iceland and Liechtenstein. Trade